Absorptions

BLACK TORO

DISCLAIMER

Futures and options trading have large potential rewards, but also large potential risk. You must be aware of the risks and be willing to accept them in order to invest in the futures and options markets. Don't trade with money you can't afford to lose. This is neither a solicitation nor an offer to buy or sell futures, stocks or options. No representation is being made that any account will or is likely to achieve profits or losses similar to those discussed here. The past performance of any trading system or methodology is not necessarily indicative of future results. If you decide to invest real money, all trading decisions should be your own. **CFTC Required Disclaimer:** Hypothetical or simulated performance results have certain inherent limitations. Unlike an actual performance record, simulated results do not represent actual trading. Also, since the trades have not actually been executed, the results may have under– or over–compensated for the impact, if any, of certain market factors, such as lack of liquidity. Simulated trading programs in general are also subject to the fact that they are designed with the benefit of hindsight. No representation in being made that any account will or is likely to achieve profits or losses similar to those shown.

"Success is the product of daily habits not once-in-a-lifetime transformation." - Atomic Habits Quotes by James Clear

“Trading is **NOT** easy and trading concepts require time and experience to be used effectively. **Allow yourself time to learn** and use these trading ideas as a springboard to achieve a better state in your life. VAMOS!!! 👊“ - Israel

Housekeeping - Rules

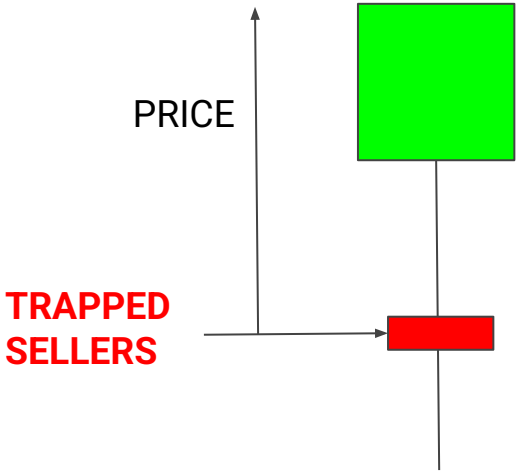
- **Respect No Recording Policy:** Clearly communicate and enforce a no-recording policy for the Zoom meeting.
- **Avoid Content Sharing Outside:** Emphasize the importance of not sharing meeting content with anyone outside out BTT community.
- **Be Punctual**: Join the Zoom meeting on time to respect everyone's schedule.
- **Dress Professionally:** Treat virtual meetings like in-person ones by dressing appropriately.
- **Mute When Not Speaking:** Avoid background noise by muting your microphone when you're not actively contributing.
- **Use Video Responsibly:** Turn on your camera for a more engaging experience, but be mindful of your surroundings.
- **Be Respectful and Engage:** Participate in the discussion, actively listen, and utilize features such as chat and reactions to interact with others during the meeting. **Sharing inappropriate GIFs or memes in chat communications is strictly prohibited.**

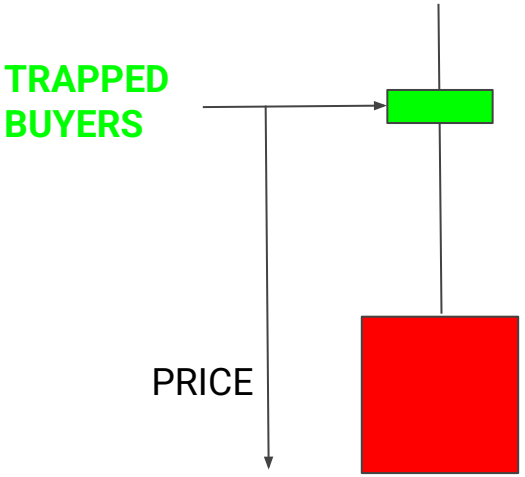
Housekeeping - Rules

- Once the core part is completed, I'll transition you to another channel called BTT - Trading Team via WhatsApp. Following that, I'm considering forming a private membership (TBD).
- Rest assured, I'll always be accessible to revisit the ideas I share. I'm committed to working with you to establish the robust foundations necessary for you to pursue your trading journey independently.
- During our sessions, please adhere closely to my instructions.
- **I do not do live trading.**
- **Any violation of the no-recording and no-content sharing policies will result in immediate consequences, including potential removal from the course without a refund.**

Thank you for your cooperation.

Special Candles - Aggressive (BUY OR SELL)

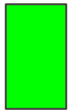




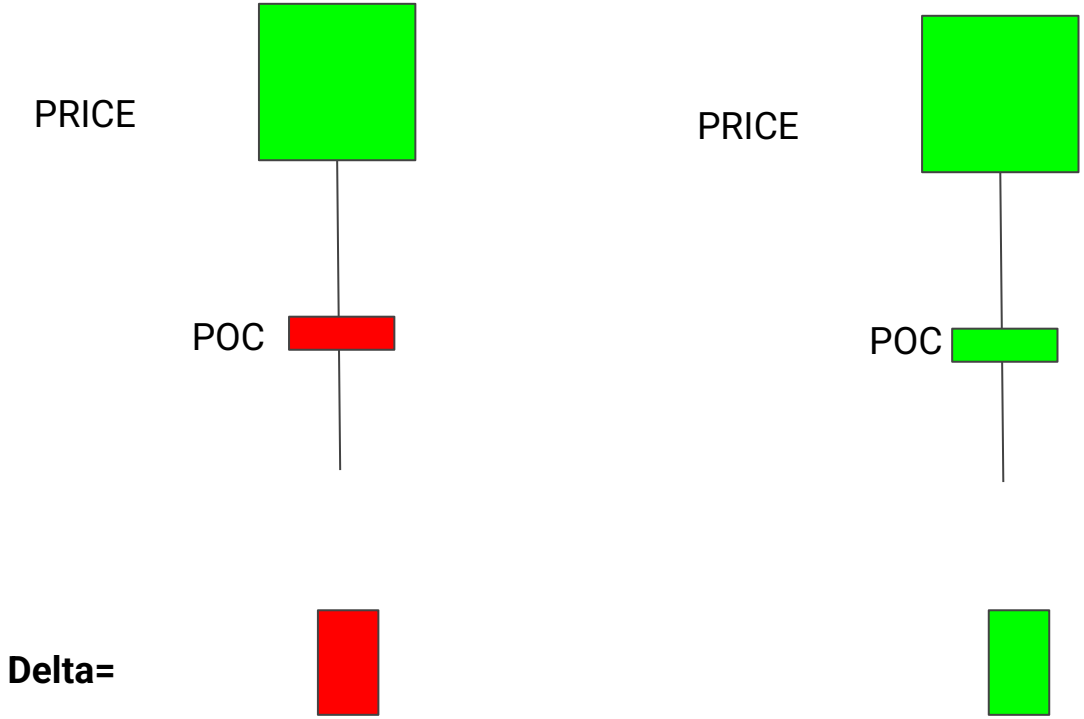
AB

AS

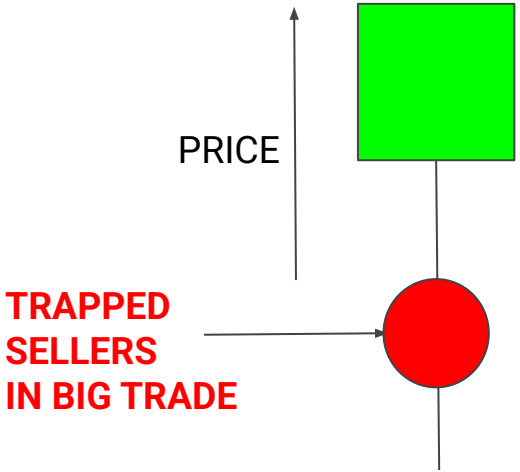
Delta=

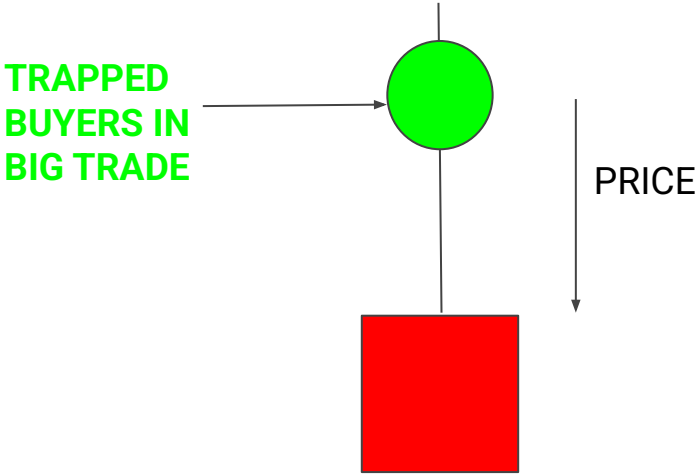


Special Candles - Aggressive (BUY OR SELL)



Special Candles - Aggressive (Variation-1)





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Delta=

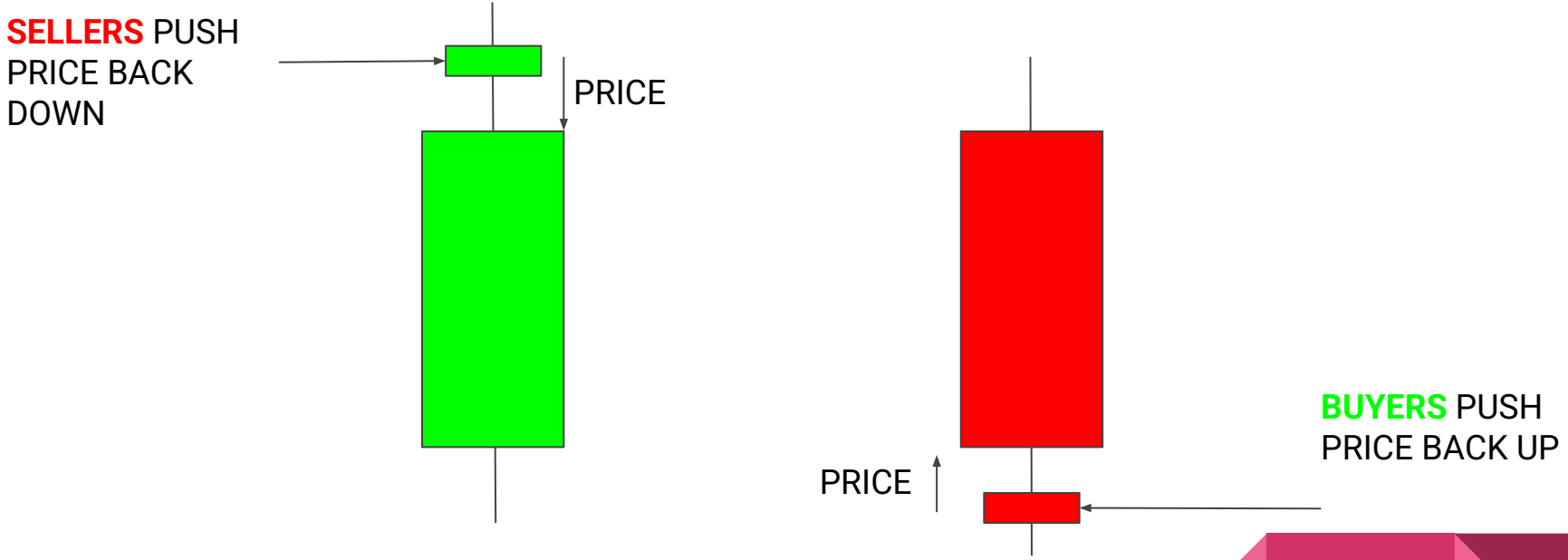
Special Candles - Aggressive (Variation-2)

AB

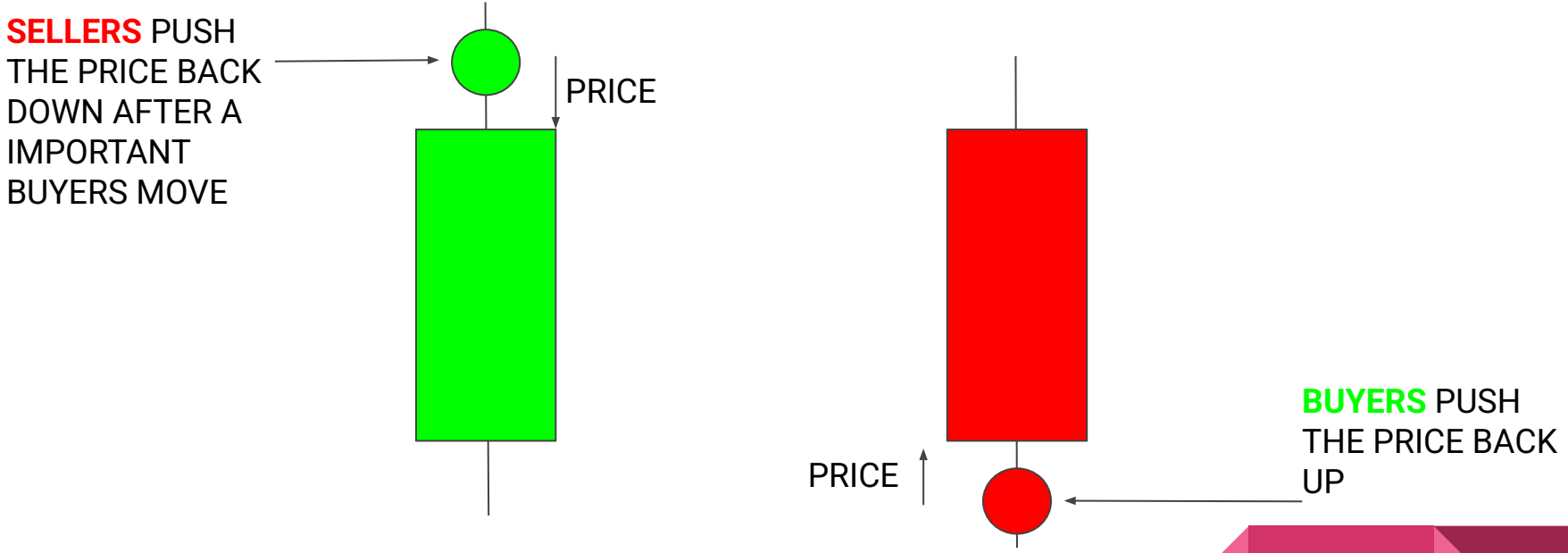
AS

Delta=

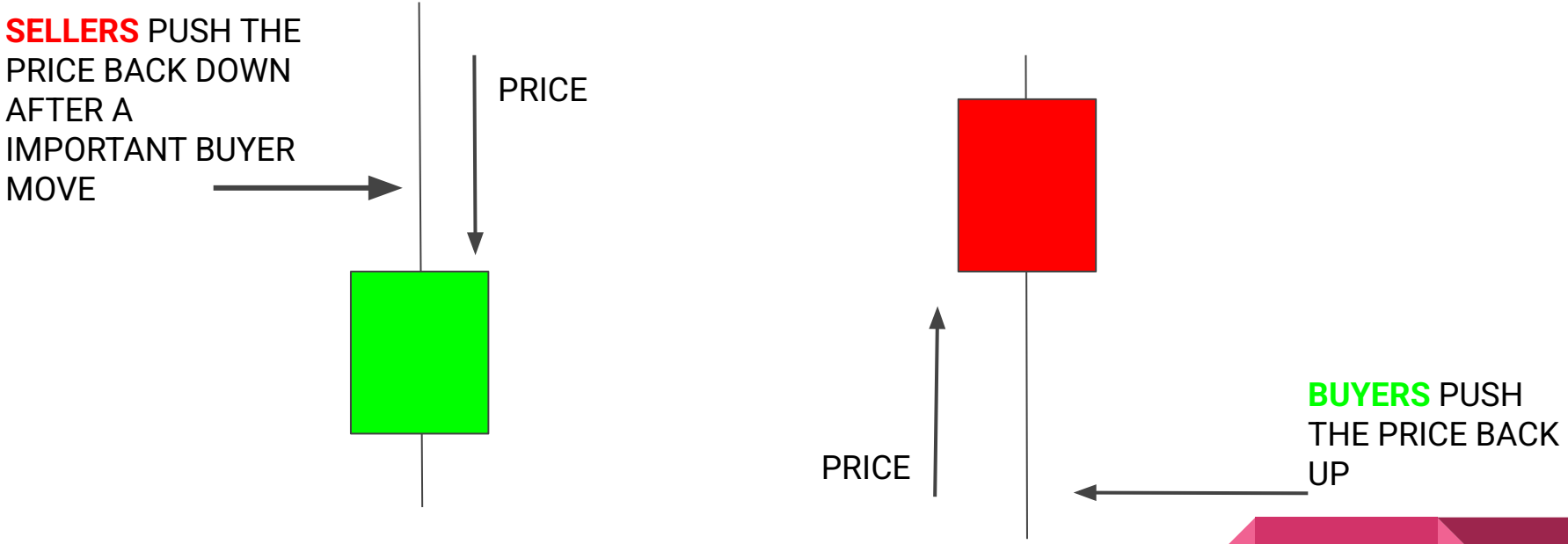
Special Candles - Absorption



Special Candles - Absorption (VARIATION)



Absorption Without Order Flow View



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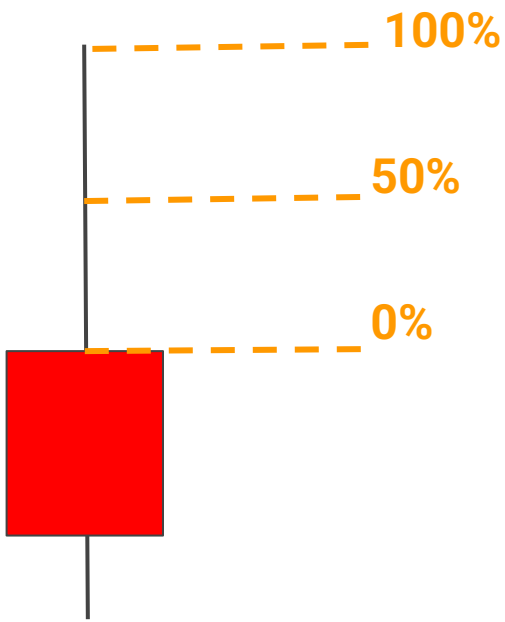
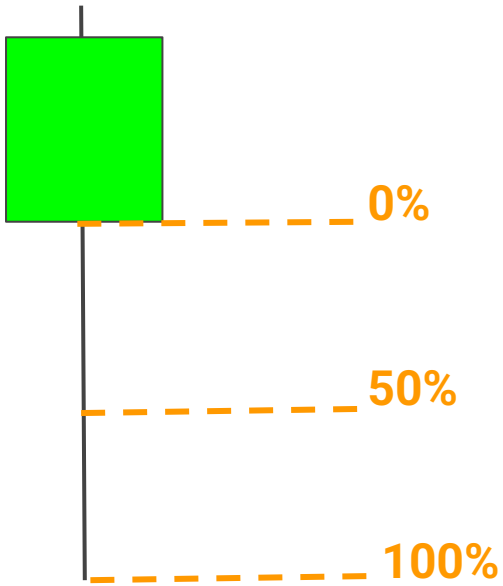
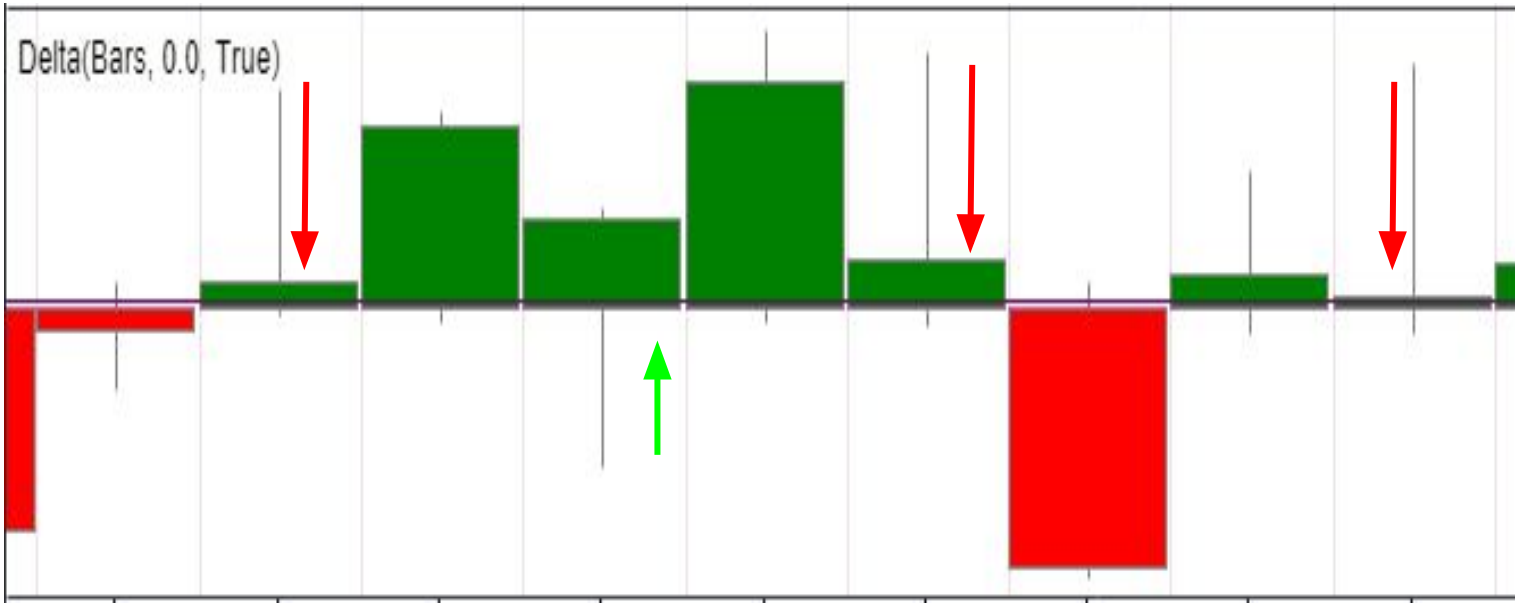
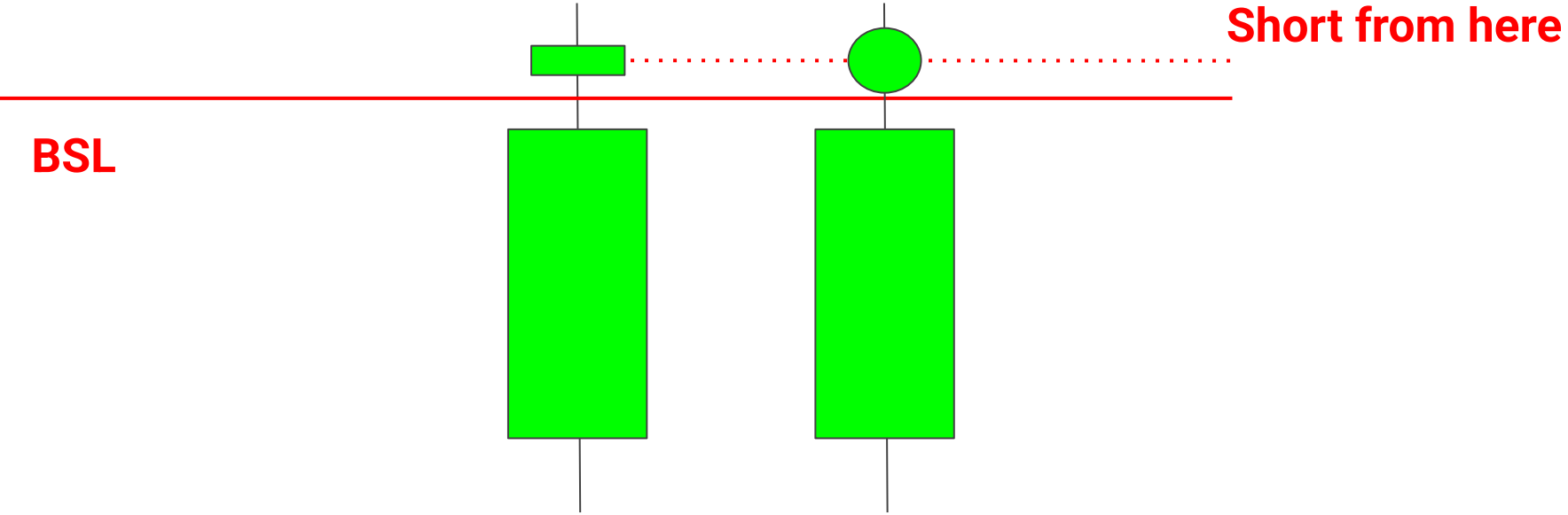




Absorption in Delta



Absorption Ver 2.0



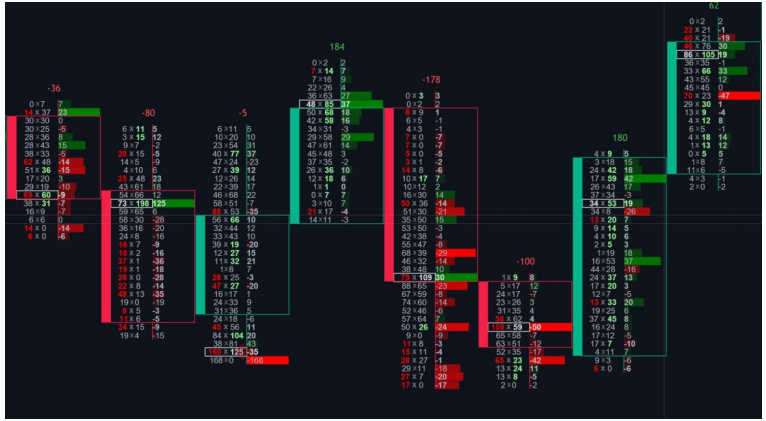
Absorption Ver 2.0

1) **Important reaction zones:**
   a) Previous Day High & Low.
   b) Initial Balance (IBH, IBM, and IBL).
   c) Asia Session High & Low.
   d) London Session High & Low.
   e) Fair Value Gaps (FVG).
   f) Order Blocks (especially EQ point, H1, M15, M5). - Mortos
   g) Premium & Discount Zones (Dealing Range).
   h) Optimal Trading Entry (Fib 62% - 71% - 80%).
   i) Volume Profile (VAH, POC, and VAL).

Absorption Ver 2.0

Mandatory Conditions:

1) **Positive/Negative Candle:** Determine whether the candle closed bullish or bearish.
2) **Delta**: Confirm that significant volume delta aligns with the trade direction.
3) **Candle POC:** Validate that the Point of Control indicates price displacement.
4) **Absorptions:** Look for absorption signals within the same candle or within the defined zone.



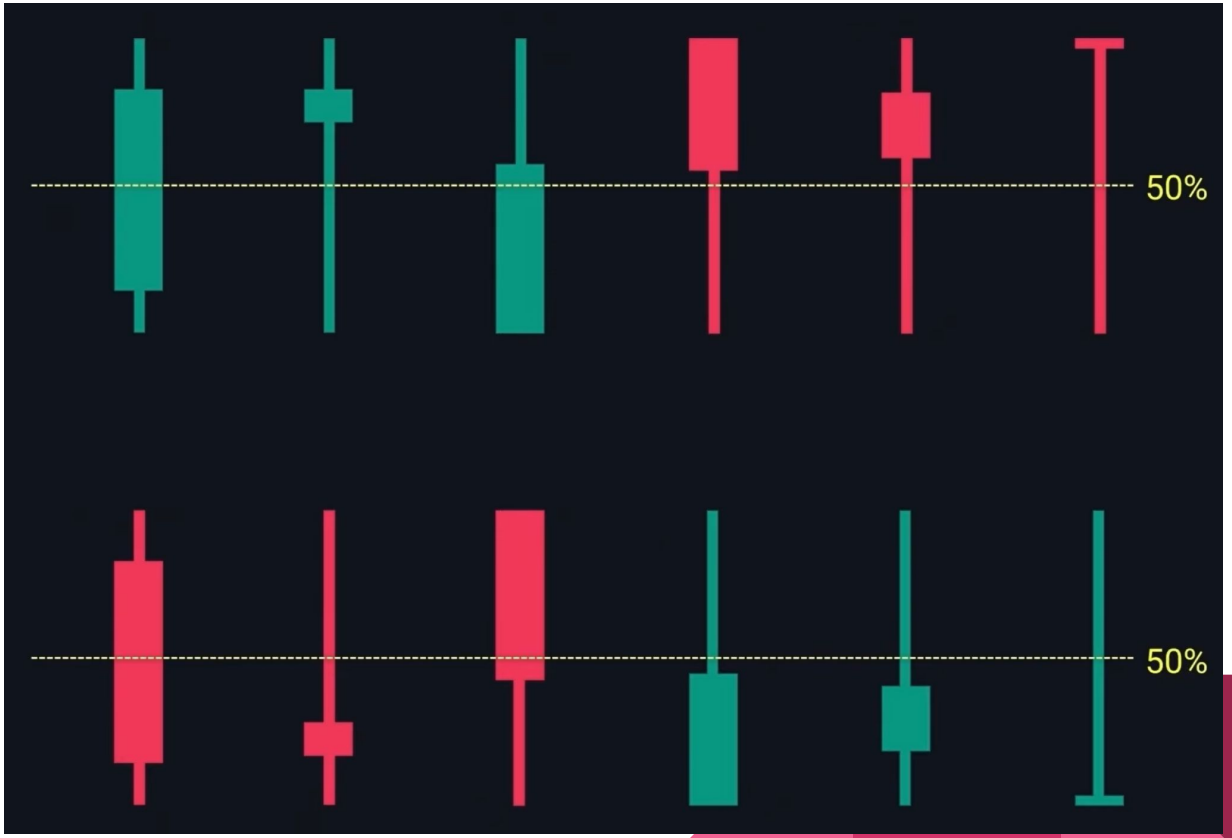
Additional Conditions:

5) Imbalances.
6) Finished Auction.

Absorption Ver 2.0

Positives (Longs)

Negatives (Shorts)



Absorption Ver 2.0

Mandatory:

1) Positive/Negative.
2) Delta
3) vPOC.
4) Absorptions.

Additional:

5) Imbalances.
6) Finished Auction.

Absorption Ver 2.0 - What is an Imbalance?

- An **imbalance** in trading means there's a **strong difference between buyers and sellers** — the market didn't trade efficiently at that area.
- In simple terms: One side (buyers or sellers) **overpowered** the other so aggressively that price left the area too fast, without filling all orders.
- That's why it's sometimes called **"inefficient pricing"** or an **"inefficient auction.**
- The market tends to **come back later** to "rebalance" it — hence the saying: "Price seeks efficiency."

Absorption Ver 2.0 - What is Unfinished Auction?

- In **trading**, *unfinished auction (or business)* refers to a **price level where the market didn't fully complete its auction process** — meaning there's likely still **liquidity, unfilled orders, or interest** remaining at that level. It's a **market structure clue** that price might **revisit** that area in the future to "finish the business."

- Every footprint represents an auction process. This process needs to end in a certain way. A properly formed high needs to have 0 contracts traded at the Bid, and a properly formed Low needs to have 0 contracts traded on the Ask.

Absorption Ver 2.0 - What is Unfinished Auction?

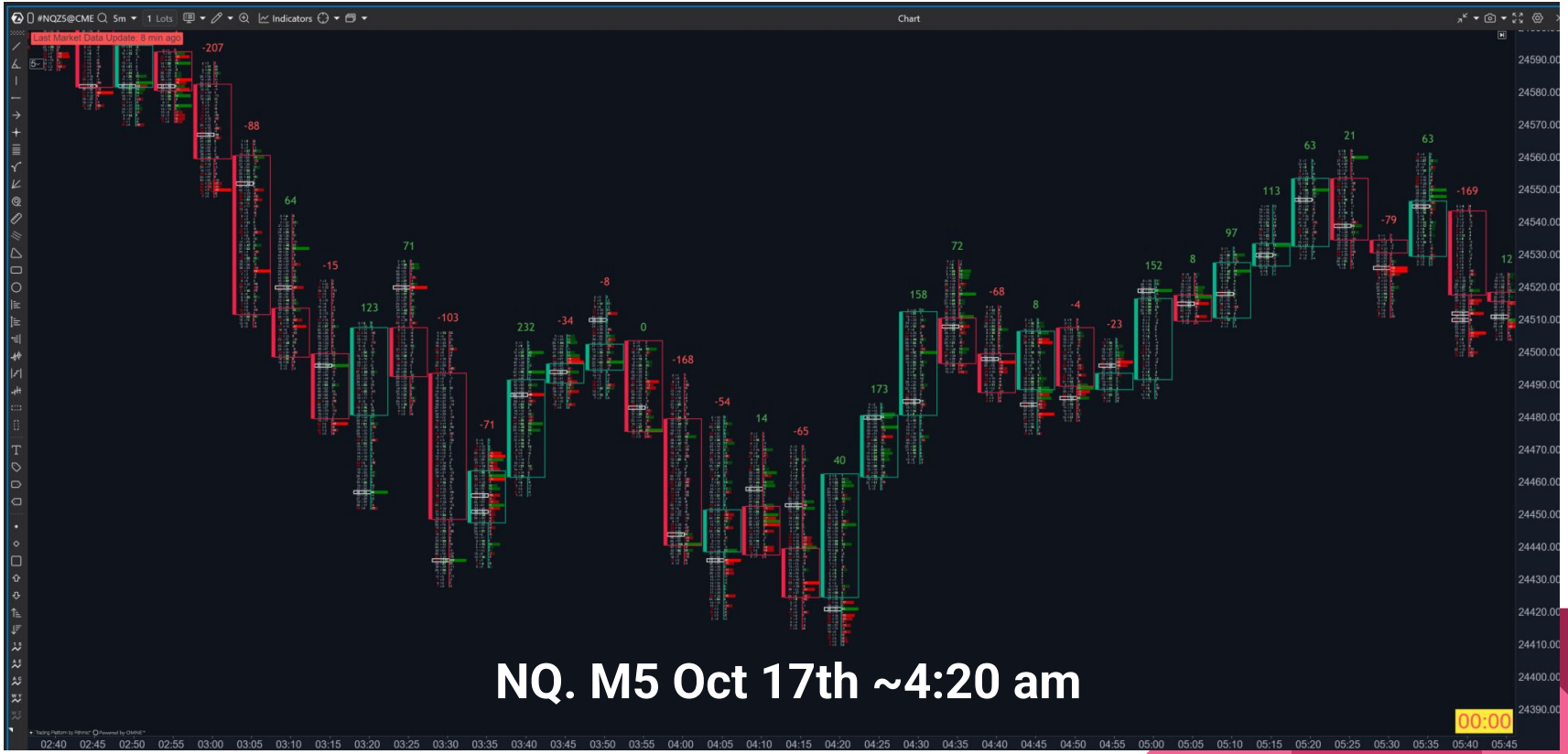
- **For long setups**, a **“Number × 0”** at the **bottom** of a candle signifies that **no trades occurred on the ask at the lowest price**, meaning sellers drove price down but **buyers never engaged**. This represents an **unfinished auction** and a **potential liquidity pocket** likely to be revisited. The absence of opposing trades indicates that **supply exhausted momentarily**, suggesting a **probable test or reversal zone** once the market returns to fill that inefficiency.

- **For short setups**, a **“0 × Number”** at the **top** of a candle shows that **no trades occurred on the bid at the highest price**, revealing that buyers pushed price up aggressively, but **sellers didn’t participate**. This is an **unfinished auction at the high**, often marking **excessive buying or trapped longs**, and may become a **target for rebalancing** when price later moves to test that level.

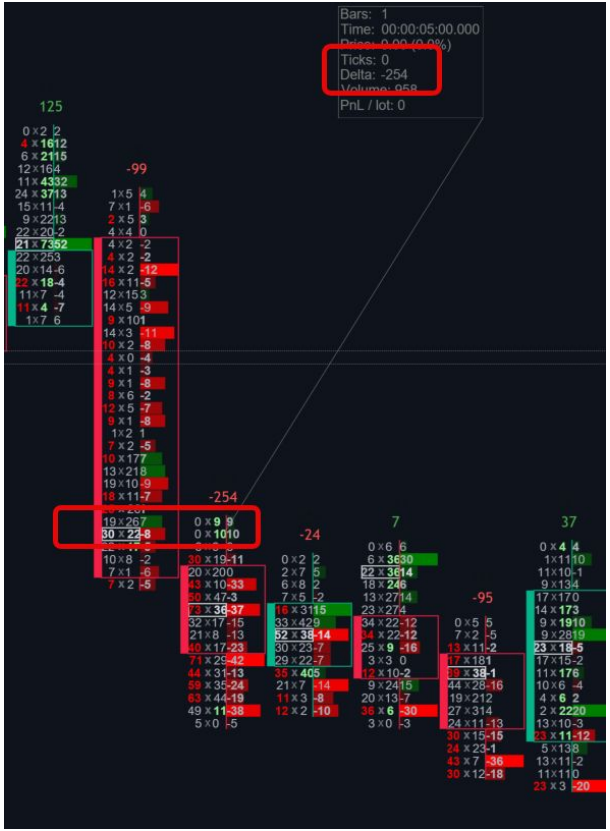
- The **completion of an auction** (i.e., when the previously untraded side finally trades) can occur either in the **current candle used for confirmation** or in the **preceding candle**. Once both sides have participated, the auction is considered **“finished”**, often marking **short-term equilibrium** before the next directional move.

Absorption Ver 2.0 - What is Unfinished Auction?

Special Considerations #1 - Price Doesn’t Retest



Special Considerations #2 - Understanding Elevated Risk Scenarios



Special Considerations #3 - Confusing Market Conditions